

AML and KYC Compliance Manual

1. Scope and Applicability

This manual outlines the Anti-Money Laundering (AML) and Know Your Customer (KYC) compliance standards for onboarding and maintaining corporate banking relationships. Policy ID: AML-KYC-2024.

2. Ultimate Beneficial Owner (UBO) Identification

- Standard Risk Corporate Clients: We must identify and verify the identity of any individual holding a 25% or greater ownership stake.
- High-Risk Corporate Clients (e.g., offshore jurisdictions, cash-intensive businesses): We must identify and verify the identity of any individual holding a 10% or greater ownership stake.

3. Politically Exposed Persons (PEPs)

A PEP is defined as an individual who is or has been entrusted with a prominent public function.

- Enhanced Due Diligence (EDD) is strictly required for any corporate entity where a Director, UBO, or Senior Executive is identified as a PEP.
- Onboarding or lending to a PEP-associated entity requires explicit written approval from the Head of Financial Crime Compliance (FCC) and the Chief Risk Officer (CRO).

4. Transaction Monitoring

Any unexpected transaction exceeding HKD 1,000,000 that does not align with the client's declared business profile will trigger an automated Suspicious Activity Report (SAR) flag.